

European Technology Hardware

Focus on AI Share Gainers: ASML, ASMI and STM Remain Preferred

Equities

Europe including UK
Technology

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We prefer Semicap

We are constructive on the European semiconductor sector heading into Q3 2026 earnings. While investor sentiment around AI is volatile and higher bond yields have prompted some de-grossing, we continue to see attractive opportunities across semiconductors. That said, we believe **a more selective approach is warranted versus the broad-based positioning that has worked over the past 12 months**. In this environment, we favour companies with clear market share gains and meaningful exposure to structural AI demand. Our top picks remain [ASML](#), [ASMI](#) and [STM](#) **Microelectronics**, where we see significant upside to medium-term earnings expectations and forecast **7-20% upside to consensus EPS estimates in 2027-28**.

Semicap: AI Supports a Strong Multi-Year Growth Outlook

We remain constructive on semiconductor equipment, where AI-driven capacity expansion continues to support a robust wafer-fab equipment (WFE) cycle. Beyond underpinning near-term earnings growth, AI investment is also enhancing visibility into medium-term demand trends. In our view, consensus continues to underestimate not only the durability and breadth of AI-related spending, but also the company-specific structural drivers across European semiconductor capital equipment names that could enable them to outperform broader WFE growth over the next two to three years. This is reflected in our 2027-28 EPS forecasts, which are more than 10% above consensus for most of the companies under our coverage. As a result, we maintain our positive stance on **ASML**, **ASM International** and **Technoprobe**, all of which remain Buy-rated.

Analog: Upcycle Continues, but Selectivity Matters

The analog sector continues to benefit from favourable end-market trends, including AI infrastructure investments, industrial automation and the prospect of an automotive inventory replenishment cycle. However, we are selective given the **uneven recovery across end markets**, particularly continued weakness in China auto demand, which may limit the magnitude of the upcycle. In addition, competitive dynamics within China and AI-adjacent markets are likely to evolve through H2, creating a wider dispersion of outcomes across the sector. Within our coverage, **STM** **Microelectronics** is our preferred idea, with our 2027 EPS estimate **c20% above current cons expectations**.

Telecom Equipment: Structural Challenges Continue to Weigh

We continue to view telecom equipment less favourably. Ericsson remains challenged by ongoing pressure on gross margins, reflecting cost inflation and product mix as well as persistent pricing headwinds. Nokia faces similar industry dynamics, although opportunities in AI-driven optical networking provide some offset. Overall, we see a less compelling risk-reward profile across telecom equipment relative to both semiconductor equipment and analog semiconductors but we would flag that we see some **upside in the quarter for Nokia driven by Optical demand**.

Stock picks: how would we position for Q3'26 results?

Our preferred positioning remains centred on AI exposure, earnings revisions potential and visibility into medium-term growth. **ASML** remains our top pick, followed by **ASMI** and **STM** **Microelectronics**, where we continue to see meaningful upside to consensus earnings forecasts. By contrast, we see downside risk for **Nordic Semis** following its strong rerating through 2025-26 and limited direct exposure to the AI investment cycle. More broadly, we remain underweight telecom equipment, with **Ericsson** our least preferred name given ongoing structural challenges and continued margin pressure.

Q3 PREVIEW

Why buy semis cap?

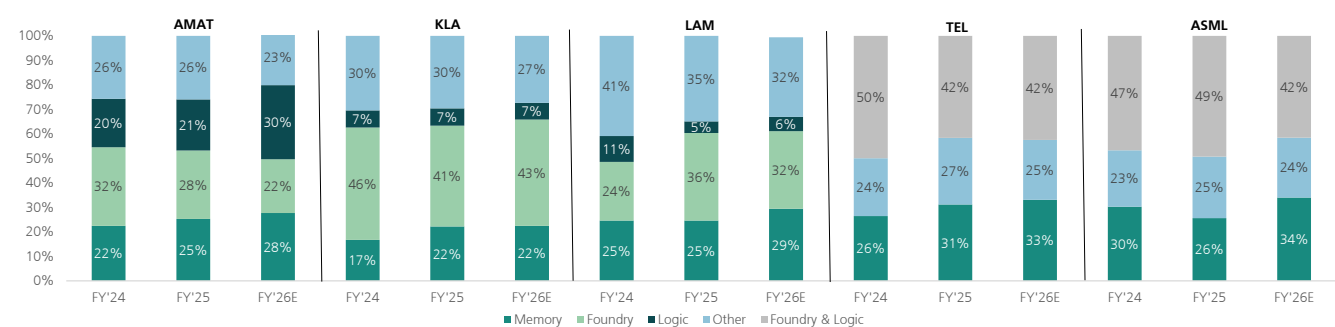
We once again raised our WFE forecast for 2026/2027/2028 as our supply chain work signals that WFE will likely push up to ~\$225B next year with C2028 tracking to at least ~\$275B with further upside to \$300B possible if foundry spending exceeds our expectations. In addition to our bottom-up work, we also see top-down evidence in the form of new cleanroom announcements and capacity expansion and messaging to the supply chain from major SPE suppliers to remain ahead of demand. For 2027, we now see total WFE up ~43% Y/Y (from a 2026 baseline of ~\$158B) with memory up ~53% Y/Y (DRAM up ~60% Y/Y, NAND up ~30% Y/Y) and foundry/logic up ~34% Y/Y. For 2028, we see incremental mix shifting more in favor of foundry/logic with overall WFE up ~22% Y/Y but foundry/logic up >30% and memory in aggregate up ~10% (with NAND up more than DRAM)([here](#)).

Figure 1: WFE driven by AI and advanced logic and memory

WFE									
\$MM	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Memory Total	29,450	44,650	39,000	29,150	39,650	46,250	74,500	113,750	125,750
DRAM	13,400	23,100	22,500	20,750	30,750	35,000	56,000	89,750	96,750
NAND	16,050	21,550	16,500	8,400	8,900	11,250	18,500	24,000	29,000
Non-memory Total	30,550	45,850	61,550	61,400	62,850	70,250	83,500	112,250	148,750
Total	61,500	90,500	100,550	90,550	102,500	116,500	158,000	226,000	274,500
China WFE	14,000	17,000	22,792	31,998	40,000	45,000	49,000	63,000	70,000
Total WFE ex-China	47,500	73,500	77,758	58,552	62,500	71,500	109,000	163,000	204,500
Total WFE ex-China F/L & CXMT @ 50%	58,450	86,200	94,517	79,531	89,535	99,650	141,880	207,595	253,700
WFE YoY %									
Memory Total	28.9%	51.6%	-12.7%	-25.3%	36.0%	16.6%	61.1%	52.7%	10.5%
DRAM	30.7%	72.4%	-2.6%	-7.8%	48.2%	13.8%	60.0%	60.3%	7.8%
NAND	27.4%	34.3%	-23.4%	-49.1%	6.0%	26.4%	64.4%	29.7%	20.8%
Non-memory Total	8.9%	50.1%	34.2%	-0.2%	2.4%	11.8%	18.9%	34.4%	32.5%
Total	19.4%	47.2%	11.1%	-9.9%	13.2%	13.7%	35.6%	43.0%	21.5%
Segment % of total									
Memory Total	47.9%	49.3%	38.8%	32.2%	38.7%	39.7%	47.2%	50.3%	45.8%
DRAM	21.8%	25.5%	22.4%	22.9%	30.0%	30.0%	35.4%	39.7%	35.2%
NAND	26.1%	23.8%	16.4%	9.3%	8.7%	9.7%	11.7%	10.6%	10.6%
Non-memory Total	49.7%	50.7%	61.2%	67.8%	61.3%	60.3%	52.8%	49.7%	54.2%
Total	97.6%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
WFE Intensity %									
Memory Total	25.1%	29.0%	30.1%	31.6%	24.0%	20.1%	7.7%	6.9%	
DRAM	20.8%	24.8%	28.9%	39.9%	32.4%	22.7%	8.7%	8.0%	
NAND	32.5%	38.5%	35.1%	23.3%	13.5%	15.9%	5.7%	4.5%	
Non-memory	9.5%	11.4%	13.9%	14.3%	14.4%	13.6%	12.6%	15.2%	
Total	14.0%	16.3%	17.6%	17.4%	17.0%	15.6%	9.7%	9.4%	
Ex-Dom China Mature F/L	13.3%	15.5%	16.5%	15.3%	14.9%	13.4%	8.7%	8.7%	
Ex-Dom China Mature F/L & CXMT @ 50%	13.3%	15.5%	16.5%	15.3%	14.9%	13.4%	8.7%	8.7%	

Source: UBS estimates, company data

Figure 2: Revenues % by end market - ASML is the most exposed to memory with TEL in the last two years and in 2026E



Source: UBS estimates, company data

Automotive semis Momentum Continues, but the Easy Upgrades Are Behind Us

Following Q2, we reviewed leading indicators and refreshed our 2026E-27E automotive semiconductor outlook. Recent data suggest the cycle is progressing as expected, leaving our automotive forecasts broadly unchanged. We note modest upgrades to industrial forecasts from consensus and UBS. While pricing remains an upside risk in select AI-related markets, broader demand remains mixed and oversupply persists. We therefore see no conditions resembling a COVID-era shortage and maintain a selective stance. We also highlight slowing Chinese domestic auto demand, partly offset by exports, which could temper Europe's recovery.

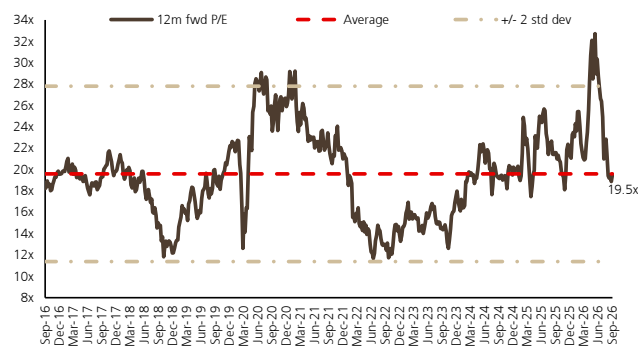
Figure 3: We estimate 10% y-o-y auto semis revenue growth in 2026E (unchanged) and +c12% in 2027E (14% previously) based on our bottom-up estimates.

	GARTNER HISTORICS					UBS ESTIMATES													
Semi sales (US\$bn)	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	% CAGR ('23-'27)	% CAGR ('25-'30)	
ADAS	1.7	3.0	4.1	5.1	5.9	5.4	10.4	13.9	16.1	16.7	15.4	20.8	26.5	32.8	35.5	37.6	13%	20%	
Aftermarket	2.2	2.2	2.3	2.5	2.5	2.4	2.9	3.4	3.9	3.3	3.1	3.1	3.2	3.2	3.2	3.2	-5%	1%	
Body	4.6	5.5	6.6	7.4	6.9	6.8	8.1	9.4	10.9	9.3	8.6	8.5	8.8	8.8	8.9	9.0	-5%	1%	
Chassis	4.6	4.5	5.1	5.4	5.1	5.0	5.9	6.9	8.0	6.9	6.4	6.3	6.5	6.5	6.6	6.7	-5%	1%	
Infotainment	7.2	7.7	8.4	9.0	8.4	8.3	9.8	12.0	14.0	12.6	12.1	12.7	13.5	14.6	14.9	15.0	-1%	4%	
Powertrain	5.4	6.8	7.4	8.0	7.5	7.4	11.3	16.0	20.4	19.5	19.1	20.2	22.7	24.2	26.1	28.1	3%	8%	
Safety	4.4	4.3	4.6	4.7	4.1	4.1	4.8	5.9	6.8	5.8	5.5	5.7	5.8	6.0	6.1	6.2	-4%	2%	
Total	30.1	34.1	38.5	42.2	40.5	39.4	53.3	67.5	80.0	74.1	70.2	77.3	86.9	96.1	101.4	105.9	2%	9%	
% y-o-y		13.3%	13.1%	9.5%	-4.0%	-2.7%	35.3%	26.6%	18.5%	-7.3%	-5.2%	10.1%	12.4%	10.5%	5.5%	4.4%			
Inventory adjustment (- restocking and + de-stocking)					-1	-5	-5	-5	-10	-1	7	3	1.5	0	0	0			
Auto production(m)	88.8	93.1	95.3	94.2	88.7	74.6	77.2	82.3	90.5	89.6	93.1	91.4	92.5	93.9	95.4	96.3			
% y-o-y		4.9%	2.3%	-1.2%	-5.8%	-15.9%	3.5%	6.7%	9.9%	-1.0%	3.9%	-1.8%	1.2%	1.0%	1.0%	1.0%			

Source: Gartner, UBS estimates

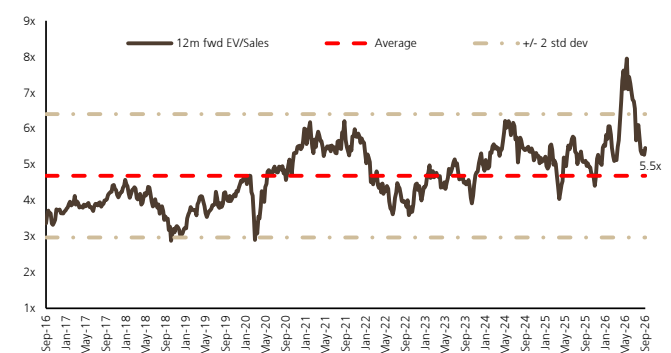
Semis valuation

Figure 4: Analog semis P/E 10Y above historical average levels



Source: UBS, company data, Datastream. Note: data includes TI, ADI, ON, IFX, STM, Microchip, Melexis, NXP, Renesas.

Figure 5: EV/Sales valuation 10Y average



Source: Datastream, UBS

Semis Distributor Tracker

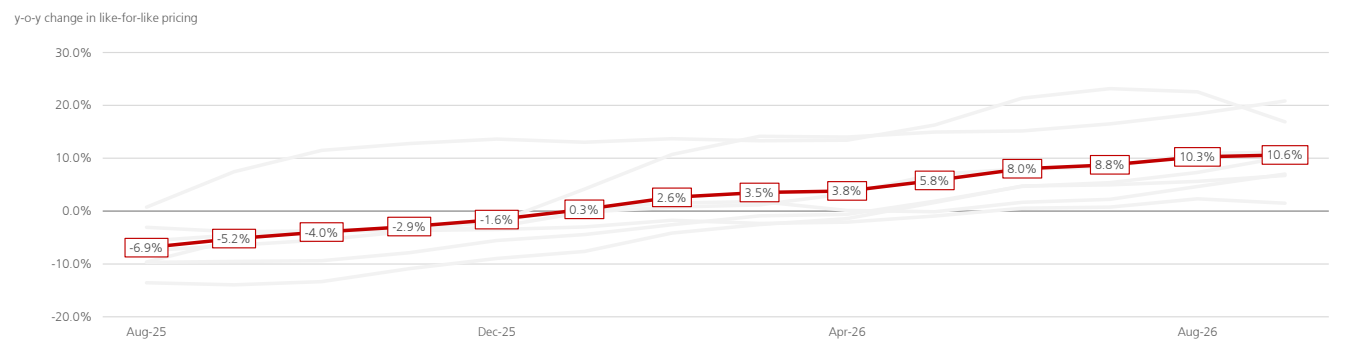
24th edition of the Enhanced UBS Evidence Lab distributor [tracker](#)

We highlight three key takeaways from the dataset: 1) MCU prices have decreased 1% (+2% last month) but remain up 5% y-o-y vs. 6% y-o-y last month, and the lowest increase of all product categories. Given recent announcements of price increases from STMicro, NXP and TI, with MCHP increasing prices from mid-August, it appears increases may be moderate compared with other products; 2) inventory decreased by 3% m-o-m, driven by Diodes down 17%, with other categories generally up or down L/MSD%; 3) Pricing continues to rise, increasing 1% m-o-m on average and 16% y-o-y vs. 2% m-o-m and 15% y-o-y in August. Pricing across categories ranged from -1 to 5%, with capacitors at the high end and MCUs at the low end.

We derive two key conclusions from our dataset:

1) Pricing environment is supportive with average y-o-y pricing increasing on a revenue exposure weighted basis.

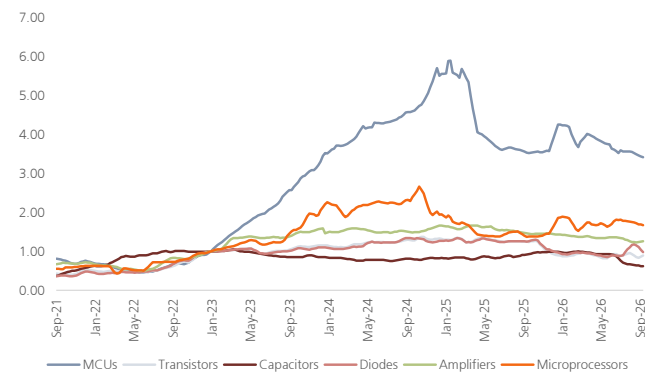
Figure 6: Weighted average pricing points to a supportive pricing environment



Source: UBS Evidence Lab; red line is average across all companies

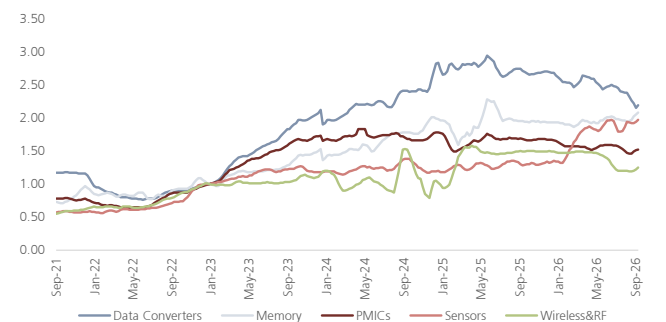
2) Inventory levels are generally stable

Figure 7: inventories are largely stable...



Source: UBS Evidence Lab ([Access dataset](#))

Figure 8: ...across the board



Source: UBS Evidence Lab ([Access dataset](#))

INVENTORY HEATMAP

How to read the heatmap: If we take STMicro as an example, we can see that in September 2025, STM MCUs made up 21.6% of total MCU inventory at our tracked distributors. On average across all time periods in our dataset, STM made up 18% of total MCU inventory, suggesting that STMicro MCUs are overstocked, or potentially gained share.

Figure 9: Company inventory heatmap

	% rev.	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Avg.
Infineon																
MCU	29%	3.9%	4.0%	4.1%	3.9%	3.4%	3.4%	3.8%	3.6%	3.7%	3.8%	4.1%	3.9%	4.0%	4.1%	3.3%
Transistors	31%	6.0%	6.4%	6.5%	7.6%	8.3%	8.9%	8.5%	8.0%	8.4%	9.1%	8.2%	7.4%	7.2%	7.3%	6.8%
PMIC	6%	0.7%	0.7%	0.8%	0.8%	0.8%	0.8%	0.7%	0.7%	0.7%	0.7%	0.7%	0.6%	0.6%	0.6%	1.0%
Sensors	6%	3.9%	4.0%	4.0%	3.8%	3.7%	3.7%	3.1%	2.8%	2.6%	2.6%	2.4%	2.6%	2.4%	2.2%	4.4%
<u>Weighted avg.</u>	72%															
STMicro																
MCU	30%	21.8%	21.6%	21.6%	20.2%	17.5%	17.2%	18.3%	16.9%	16.5%	16.0%	15.7%	13.7%	12.6%	11.6%	18.0%
Transistors	14%	1.0%	1.0%	1.1%	1.3%	1.5%	1.5%	1.3%	1.2%	1.2%	1.3%	1.1%	1.0%	1.1%	1.2%	0.9%
Diodes	1%	2.7%	2.8%	2.8%	3.2%	3.5%	3.3%	3.1%	3.1%	3.4%	3.4%	3.0%	2.4%	2.1%	2.3%	2.1%
Amplifiers	4%	11.7%	12.2%	12.6%	12.8%	12.6%	12.4%	11.7%	11.5%	10.5%	9.9%	9.6%	9.3%	9.1%	8.9%	9.3%
Memory	2%	9.5%	10.1%	9.1%	9.3%	8.6%	8.5%	8.1%	6.9%	6.1%	6.5%	6.1%	5.4%	5.2%	4.8%	8.7%
PMIC	8%	0.9%	0.9%	1.0%	1.0%	1.0%	1.0%	0.9%	0.9%	0.9%	0.8%	0.8%	0.8%	0.8%	0.7%	0.9%
Sensors	12%	22.5%	20.5%	19.3%	18.7%	17.1%	15.4%	11.0%	10.3%	7.5%	5.9%	4.3%	3.0%	2.7%	2.0%	14.9%
<u>Weighted avg.</u>	70%															
NXP																
MCU	38%	8.1%	8.7%	8.7%	8.9%	8.3%	8.8%	10.4%	10.6%	11.2%	11.3%	12.9%	12.9%	13.0%	12.0%	7.6%
Wireless & RF	16%	12.8%	12.9%	13.3%	13.9%	13.9%	14.2%	14.5%	14.9%	15.1%	14.1%	16.0%	19.9%	20.0%	22.2%	10.5%
Microprocessors	5%	46.3%	49.2%	49.7%	48.3%	42.7%	46.2%	52.5%	51.2%	53.1%	55.5%	59.9%	55.6%	56.9%	57.4%	37.0%
<u>Weighted avg.</u>	58%															
Microchip																
MCU	59%	41.1%	39.9%	40.0%	41.9%	49.1%	48.9%	43.4%	46.3%	46.6%	46.8%	44.4%	47.0%	47.9%	49.4%	47.4%
Amplifiers	5%	4.5%	3.5%	3.8%	4.4%	6.2%	6.2%	4.0%	4.5%	4.6%	4.9%	4.5%	5.5%	6.2%	6.5%	4.8%
Data converters	2%	11.1%	11.2%	12.0%	12.8%	17.5%	18.0%	13.8%	16.7%	17.8%	19.6%	19.1%	20.3%	20.4%	20.8%	17.6%
Memory	3%	20.3%	19.4%	19.4%	20.3%	25.7%	25.3%	19.1%	20.3%	21.1%	20.7%	18.1%	20.3%	22.8%	24.8%	26.4%
PMIC	3%	1.9%	1.9%	2.0%	2.0%	2.7%	2.9%	2.1%	2.5%	2.6%	2.6%	2.3%	2.6%	2.7%	2.7%	3.5%
Sensors	1%	0.6%	0.7%	0.6%	0.5%	0.6%	0.6%	0.5%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.3%	0.6%
Wireless & RF	2%	0.6%	0.6%	0.6%	0.6%	0.9%	0.8%	0.6%	0.7%	0.7%	0.7%	0.7%	0.9%	0.8%	0.8%	2.0%
<u>Weighted avg.</u>	73%															
Texas Instruments																
MCU	10%	20.9%	21.4%	21.3%	21.0%	18.1%	18.0%	19.9%	18.5%	18.1%	18.4%	19.1%	18.9%	18.8%	19.1%	18.9%
Amplifiers	22%	56.1%	56.7%	55.8%	54.4%	52.4%	52.7%	52.4%	49.9%	50.8%	51.8%	50.1%	49.7%	49.0%	50.7%	59.4%
Data converters	9%	52.6%	52.7%	50.4%	48.6%	45.7%	45.8%	48.6%	46.3%	45.7%	46.1%	48.0%	47.2%	46.9%	46.4%	47.1%
PMIC	14%	43.2%	43.4%	42.4%	41.6%	41.3%	41.4%	41.6%	40.6%	40.6%	41.4%	40.1%	41.3%	41.1%	42.3%	45.0%
Wireless & RF	3%	5.6%	5.6%	5.9%	5.9%	6.0%	6.0%	6.1%	6.0%	5.9%	5.9%	6.4%	7.2%	7.3%	7.3%	6.6%
<u>Weighted avg.</u>	57%															
ONSem																
Transistors	35%	27.3%	27.7%	27.8%	30.4%	30.9%	32.2%	35.1%	37.1%	37.7%	40.5%	50.1%	47.8%	48.8%	42.7%	28.8%
Diodes	9%	22.1%	23.5%	24.7%	25.7%	25.5%	26.4%	27.7%	29.0%	28.8%	31.3%	38.9%	36.3%	28.7%	27.3%	21.6%
Amplifiers	12%	13.9%	14.3%	14.6%	14.7%	15.0%	15.7%	19.1%	21.5%	22.0%	21.7%	24.9%	24.0%	23.9%	21.8%	13.4%
Memory	1%	49.7%	50.1%	51.0%	50.9%	47.3%	48.5%	54.6%	56.1%	56.6%	56.0%	57.5%	57.1%	56.2%	54.6%	42.8%
PMIC	4%	23.3%	23.3%	24.0%	24.0%	23.3%	24.2%	26.5%	28.2%	28.8%	28.9%	31.5%	28.5%	27.8%	27.2%	21.1%
<u>Weighted avg.</u>	61%															
Analog Devices																
Amplifiers	25%	9.2%	9.4%	9.6%	9.9%	9.8%	9.7%	9.7%	9.8%	9.6%	9.1%	8.1%	8.4%	8.4%	9.0%	8.0%
Data converters	25%	31.4%	31.3%	32.9%	34.0%	32.6%	32.1%	33.5%	32.9%	32.3%	30.2%	28.6%	29.2%	29.4%	29.7%	28.9%
PMIC	8%	6.9%	7.0%	7.4%	7.7%	7.7%	7.6%	7.4%	7.3%	7.2%	6.9%	6.5%	7.0%	7.2%	7.5%	5.9%
Sensors	2%	4.4%	4.5%	4.6%	4.5%	4.3%	4.1%	3.5%	2.9%	2.6%	2.5%	2.3%	2.3%	2.1%	2.0%	4.1%
Wireless & RF	1%	7.6%	7.6%	7.6%	7.7%	7.8%	7.8%	7.7%	7.7%	7.5%	6.1%	3.2%	3.5%	3.4%	3.3%	7.7%
<u>Weighted avg.</u>	62%															
ROHM																
Diodes	19%	1.5%	1.4%	1.5%	1.6%	1.8%	1.8%	1.9%	1.9%	1.8%	1.8%	1.8%	1.6%	1.3%	1.6%	2%
Memory	2%	1.2%	1.3%	1.3%	1.3%	1.2%	1.2%	1.2%	1.1%	1.1%	1.1%	1.0%	0.9%	0.9%	1.0%	2%
<u>Weighted avg.</u>	21%															

Source: UBS Evidence Lab; group vs. avg. = product level metric - company average for product, weighted by % company revenue exposure as per Gartner data, ([Access dataset](#))

PRICING HEATMAP

Figure 10: Company pricing heatmap - y-o-y change in pricing

	% rev.	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26
Infineon															
MCU	29%	-10%	-10%	-10%	-9%	-7%	-6%	-4%	-4%	-3%	0%	4%	3%	2%	3%
Transistors	31%	-18%	-18%	-17%	-13%	-11%	-9%	-4%	-2%	0%	3%	6%	7%	9%	10%
PMIC	6%	-13%	-14%	-13%	-11%	-9%	-8%	-5%	-5%	-3%	1%	4%	6%	9%	9%
Sensors	6%	-11%	-12%	-12%	-11%	-8%	-6%	-1%	-1%	-2%	1%	2%	1%	2%	4%
Weighted avg.	72%	-13.6%	-14.0%	-13.4%	-10.9%	-9.0%	-7.6%	-4.2%	-2.6%	-1.4%	1.6%	4.8%	5.0%	5.6%	6.7%
STMicro															
MCU	30%	-9%	-7%	-6%	-4%	-3%	-1%	0%	0%	-1%	-1%	1%	2%	6%	10%
Transistors	14%	-9%	-9%	-9%	-7%	-5%	-2%	-1%	0%	-1%	-3%	-3%	-3%	2%	5%
Diodes	1%	-11%	-10%	-9%	-8%	-6%	-4%	0%	4%	3%	2%	4%	4%	7%	11%
Amplifiers	4%	-13%	-12%	-11%	-8%	-5%	-2%	-2%	-2%	-3%	0%	4%	4%	4%	4%
Memory	2%	-4%	-3%	-2%	0%	3%	6%	7%	10%	10%	12%	14%	14%	13%	14%
PMIC	8%	0%	2%	3%	4%	7%	9%	11%	12%	11%	12%	13%	12%	9%	9%
Sensors	12%	-6%	-5%	-5%	-3%	0%	2%	3%	2%	-2%	-3%	-2%	-1%	1%	1%
Weighted avg.	70%	-7.5%	-6.5%	-5.5%	-3.8%	-1.8%	0.4%	1.5%	1.8%	0.1%	-0.1%	1.7%	2.2%	4.7%	7.0%
NXP															
MCU	38%	-12%	-9%	-7%	-6%	-5%	-3%	-2%	-2%	1%	6%	7%	7%	10%	13%
Wireless & RF	16%	-4%	4%	5%	1%	2%	6%	8%	8%	8%	8%	9%	10%	11%	5%
Microprocessors	5%	-10%	-7%	-5%	-4%	-3%	-1%	0%	1%	4%	10%	11%	11%	14%	17%
Weighted avg.	58%	-9.6%	-5.5%	-3.5%	-3.9%	-3.0%	-0.2%	0.8%	1.2%	3.3%	7.0%	8.0%	8.3%	10.9%	11.1%
Microchip															
MCU	59%	-3%	-3%	-3%	-3%	-3%	-3%	-2%	-2%	-2%	-1%	0%	0%	2%	1%
Amplifiers	5%	-2%	-3%	-3%	-2%	-2%	-1%	0%	-1%	-3%	0%	3%	4%	5%	3%
Data converters	2%	-4%	-5%	-5%	-4%	-4%	-3%	-2%	-3%	-3%	0%	3%	3%	4%	2%
Memory	3%	-6%	-6%	-6%	-6%	-5%	-4%	-1%	-1%	-1%	0%	1%	4%	5%	5%
PMIC	3%	-5%	-7%	-7%	-6%	-6%	-4%	-2%	-3%	-3%	1%	4%	3%	5%	4%
Sensors	1%	1%	-4%	-3%	-1%	-1%	0%	4%	6%	4%	3%	-2%	-3%	2%	1%
Wireless & RF	2%	-9%	-11%	-10%	-10%	-9%	-8%	-6%	-7%	-5%	0%	1%	0%	3%	3%
Weighted avg.	73%	-3.1%	-3.9%	-3.7%	-3.7%	-3.5%	-3.0%	-1.8%	-2.3%	-2.1%	-0.9%	0.5%	0.8%	2.3%	1.5%
Texas Instruments															
MCU	10%	0%	5%	10%	11%	12%	11%	12%	13%	14%	16%	22%	24%	24%	20%
Amplifiers	22%	1%	8%	11%	12%	13%	12%	13%	12%	12%	15%	20%	22%	21%	16%
Data converters	9%	1%	11%	16%	18%	19%	19%	19%	19%	19%	23%	28%	28%	27%	19%
PMIC	14%	1%	7%	10%	12%	12%	12%	13%	12%	12%	15%	20%	21%	21%	15%
Wireless & RF	3%	0%	5%	10%	11%	11%	11%	12%	12%	13%	14%	18%	21%	20%	16%
Weighted avg.	57%	0.7%	7.4%	11.5%	12.8%	13.6%	13.0%	13.7%	13.3%	13.4%	16.3%	21.4%	23.2%	22.6%	16.9%
ONSem															
Transistors	35%	-8%	-7%	-7%	-6%	-3%	-3%	-1%	0%	1%	3%	5%	6%	7%	10%
Diodes	9%	-10%	-9%	-10%	-8%	-5%	-3%	-1%	2%	3%	7%	11%	12%	14%	19%
Amplifiers	12%	-15%	-15%	-16%	-14%	-12%	-10%	-8%	-7%	-6%	-5%	-1%	0%	4%	7%
Memory	1%	-13%	-12%	-12%	-10%	-8%	-2%	1%	3%	2%	5%	7%	9%	10%	10%
PMIC	4%	-8%	-9%	-8%	-7%	-6%	-5%	-4%	-3%	-3%	-2%	2%	2%	3%	5%
Weighted avg.	61%	-9.7%	-9.5%	-9.4%	-7.9%	-5.6%	-4.4%	-2.6%	-0.9%	-0.6%	1.9%	4.7%	5.4%	7.3%	10.3%
Analog Devices															
Amplifiers	25%	-6%	-5%	-4%	-4%	-2%	5%	11%	15%	15%	16%	16%	18%	20%	22%
Data converters	25%	-7%	-5%	-4%	-3%	-2%	4%	11%	13%	13%	14%	15%	16%	18%	20%
PMIC	8%	-4%	-3%	-3%	-3%	-2%	5%	11%	15%	15%	16%	16%	18%	19%	21%
Sensors	2%	-1%	-1%	0%	0%	0%	3%	8%	9%	9%	9%	9%	10%	11%	14%
Wireless & RF	1%	-1%	-1%	0%	0%	0%	3%	7%	9%	10%	10%	10%	10%	11%	13%
Weighted avg.	62%	-5.7%	-4.5%	-3.8%	-3.1%	-2.1%	4.1%	10.7%	14.1%	14.0%	14.9%	15.1%	16.5%	18.4%	20.8%
ROHM															
Diodes	19%	1%	2%	2%	5%	5%	8%	11%	10%	12%	15%	18%	17%	20%	20%
Memory	2%	2%	4%	7%	8%	7%	12%	16%	18%	18%	19%	18%	18%	18%	15%
Weighted avg.	21%	1.3%	2.0%	2.5%	5.4%	5.0%	8.7%	11.6%	10.7%	12.6%	15.3%	17.7%	17.0%	20.3%	19.5%

Source: UBS Evidence Lab; group vs. avg. = product level metric - company average for product, weighted by % company revenue exposure as per Gartner data, ([Access dataset](#))

COMPANY COMMENTS

Aixtron (Neutral, €50 PT)

Event: Q3 2026 results – 7:00am (CET), October 29th

What to watch

1) Q3'26 Outlook: Aixtron guided Q3'26 revenues at ~€180m at midpoint, up 56% q-o-q and up 51% y-o-y. Our estimates sit roughly in line at €181.1m, and consensus of €181.7m.

2) FY'26 outlook: Aixtron reiterated their FY'26 guidance at €560m ± €30m and EBIT margin of around 17-20%, with gross margin expected to come in at around 42%. Our revenue estimates sit 2% below consensus and in line with midpoint of guidance at c. €561.7m (1% y-o-y), with gross margin of 40% (cons 41.9%) and EBIT margin of 17.1% (cons 18.7%).

3) Orders: In Q2'26, order intake was €215m, +81% YoY. Optoelectronics accounted for 75% of equipment orders which echoes the continued strong demand seen in optical datacentre, while major laser system shipments are expected to start this quarter and continue beyond FY26. For Q3'26, cons expects ~€209m and buyside likely above again predominantly driven by opto, which continues to see significant capacity expansion.

4) Power demand: In Q2, management flagged that demand in the power market remains subdued despite utilisation rates among power customers gradually improving. We forecast power sales down -44% yoy in FY'26, driven both by SiC rationalisation in China and weak GaN consumer demand. Any commentary around SiC and GaN will be watched.

WPI

Aixtron currently trades on 30.8x 12-month forward P/E, a premium to its 5Y average of 23.4x.

UBS vs consensus

We estimate Q3 revenues at €181.1m, up 57% q-o-q, and consensus at €181.7m, sitting roughly in line. For the full year 2026, our revenue estimates sit -2% below consensus at c. €561.7m (+1% y-o-y), with gross margin of 40% (cons 41.9%) and EBIT margin of 17% (cons 18.7%).

Figure 11: Aixtron UBSe vs consensus

	Q3 26E			Q4 26E		2026E			2027E		2028E	
€m	Guide	UBSe	Cons	UBSe	Cons	Guide	UBSe	Cons	UBSe	Cons	UBSe	Cons
Sales	180.0	181.1	181.7	206.2	218.8	560	561.7	574.6	697.6	812.1	871.0	952.2
yoy	51%	51%	52%	10%	17%	1%	1%	3%	24%	41%	25%	17%
Gross profit		77.9	80.3	89.1	103.2		224.5	240.9	286.0	359.3	365.8	429.0
% margin		43.0%	44.2%	43.2%	47.2%	42%	40.0%	41.9%	41.0%	44.2%	42%	45.0%
S&M		-2.7	-4.6	-2.2	-4.1		-14.4	-18.3	-17.4	-21.3	-21.8	-23.5
G&A		-7.2	-8.2	-6.8	-8.0		-30.8	-33.1	-34.9	-36.0	-43.5	-38.7
R&D		-19.9	-22.7	-20.4	-22.8		-87.3	-92.9	-104.6	-104.4	-121.9	-110.9
Total operating expenses		-33.8	-35.5	-29.4	-35.0		-139.3	-144.4	-157.0	-161.7	-187.3	-173.1
% y-o-y		-13%	-9%	-19%	-3%		-2%	1%	13%	12%	19%	7%
EBITDA		46.8	51.1	61.6	74.0		111.4	129.1	143.0	230.9	196.0	291.6
% margin		26%	26%	29.9%	33.8%		20%	26%	21%	28%	23%	31%
EBIT		44.1	46.3	59.7	69.0		96.2	107.5	129.1	206.5	178.5	262.8
% margin		24.4%	25.5%	29.0%	31.5%	17-20%	17.1%	18.7%	18.5%	25.4%	21%	27.6%
Tax		-10.7	-10.9	-14.1	-16.4		-17.3	-21.5	-19.5	-50.8	-27.0	-66.0
Profit after tax		35.9	30.3	46.1	44.8		79.2	78.6	110.7	137.5	152.8	164.0
Net income adjusted		35.9	30.3	46.1	44.8		79.2	78.6	110.7	137.5	152.8	164.1
EPS Basic		0.32	0.31	0.41	0.40		0.70	0.70	0.98	1.22	1.35	1.45
EPS Diluted		0.32	0.31	0.41	0.47		0.70	0.74	0.98	1.39	1.35	1.76
DPS announced		0.0	0.0	0.0			0.2	0.0	0.3		0.5	
FCF		-173.0	-58.0	111.3	80.9		100.2	197.1	38.5	79.2	103.0	158.8

Source: UBS estimates, Visible Alpha, Company data

ams-OSRAM (Buy, CHF22 PT)

Event: Q3 2026 results – 7:00am (CET), November 13th

What to watch

1) Q3'26 results: ams OSRAM guided Q3 revenues of €770-870m, up 2% q-o-q and flat y-o-y. The company expects Q3 adj. EBITDA margin of 14.5-17.5%. Our estimates on revenue sit broadly in line with the midpoint of guidance and consensus, while our adj. EBITDA margin sits closer to the higher end of guidance at 17% (cons 15.9%).

2) FY26 outlook: For FY26, management expects a slight (prev. modest) y-o-y softening in revenue and adj. EBITDA to be negatively impacted by various one-offs related to divestments and higher input costs, with FCF including interest now expected to be slightly over negative €300m, given outflows from prepayments but is anticipated to turn positive in FY27. We estimate full year revenues of €3,246m, down 2.3% y-o-y (cons -2.6% y-o-y), and an adj. EBITDA margin of c17% (cons in line).

3) Balance sheet: as always, further progress on the de-leveraging will be in focus, where the company still has some levers to pull to deleverage further and we believe the likelihood of exiting of the Kulim SLB potentially has increased in recent quarters as the wider industry has shifted from over to under capacity in pockets.

4) New opportunities: ams-OSRAM recently announced their expansion of micro-array interconnect ecosystem and a new microVCSEL product. Any commentary on the size and timeline of the opportunity will be watched.

WPI

ams-OSRAM currently trades on 1.1x 12-month forward EV/Sales, a discount vs ams history of 1.8x and OSRAM history of 1.1x.

UBS vs consensus

For Q3'26, our revenue estimate of €822.3m sits broadly in line with the midpoint of guidance and consensus, while our adj. EBITDA margin sits closer to the higher end of guidance at 17% (cons 15.9%). For full year 2026, our estimates are in line with consensus.

Figure 12: ams-OSRAM UBS vs consensus

EURm	Guide	Q3 26E		Q4 26E		2026E		2027E		2028E	
		UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.
Revenues	770-870	822.3	821.1	822.3	815.5	3,245.6	3,234.3	3,247	3,255	3,469	3,411
% y-o-y		-3.6%	-3.7%	-5.9%	-6.7%	-2.3%	-2.6%	0.0%	0.6%	6.9%	4.8%
Optical Semiconductors (OS)		393.12	387	373	360	1458	1,438	1447	1,500	1595	1,620
CMOS Sensors and ASICs (CSA)		224	233	226	229	931	943	961	930	1045	969
Semiconductors		617	626	600	604	2389	2,399	2408	2,467	2639	2,623
Lamps & systems		205	195	222	211	857	834	838	795	830	793
EBIT		34.6	22.6	52.0	24.2	59.6	38.1	207.2	148.6	296.6	226.0
% margin		4.2%	2.7%	6.3%	3.0%	1.8%	1.2%	6.4%	4.6%	8.5%	6.6%
EBIT adj. - ams AG		69.9	56.0	68.8	54.2	259.6	281.1	292	317	382	380
% margin		8.5%	6.8%	8.4%	6.6%	8.0%	8.7%	9.0%	9.7%	11.0%	11.1%
EBITDA adj. - ams AG		139.6	130.9	129.0	132.6	549.6	549.5	637	605	727	661
% margin	14.5%-17.5%	17.0%	15.9%	15.7%	16.3%	16.9%	17.0%	19.6%	18.6%	20.9%	19.4%
Net Income		-7.0	7.3	-7.4	-3.6	-290.4	-295.4	-61.8	-75.9	81.6	12.0
EPS dil. headline		-0.07	0.07	-0.07	-0.05	-2.94	-1.99	-0.63	-0.8	0.83	0.1
Cash from ops		-23.4	51.7	99.3	59.6	138.8	78.0	599.7	455.9	715.3	495.4
Capex		-57.6	-64.3	-51.6	-65.4	-227.2	-239.8	-243.5	-241.3	-260.2	-252.1

Source: UBS estimates, Visible Alpha, company data

ASM International (Buy, €1,325 PT)

Event: Q3 2026 results – 6:00pm (CET), October 27th

What to watch

1) Q3'26 results: For Q3'26, management guided revenue to be c€1.1bn (i.e. +10% q-o-q and +40% y-o-y at constant currency). Our estimates sit in line with guidance and consensus.

2) Q4'26 guide: We expect ASMI to guide to **high single-digit q-o-q sales growth in Q4, broadly in line with consensus (+8%) and UBSe (+9%)**. We also see scope for further gross margin upside, leaving our Q4 EBIT estimate 4% above consensus.

3) FY'27-28 outlook: While we do not expect formal 2027 guidance at this stage, management is **likely to highlight improving visibility versus last quarter**, supported by advanced logic, memory, and mature-node demand. We forecast group revenue growth of 36% in FY27E versus consensus at 29%, followed by 33% growth in FY28E versus consensus at 19%. This translates into EPS estimates 10% above consensus in 2027E and 20% above in 2028E.

4) Additional Design wins: We will focus on any incremental commentary around market share gains in Epitaxy and ALD, which would provide further evidence supporting our positive thesis. Additional layer wins across leading-edge logic customers remain an important catalyst for estimates.

WPI

ASMI currently trades on 7.9x 12-month forward EV/Sales vs. its 10-year average of 5.7x.

UBS vs consensus

For Q3'26, our revenue estimate sits in line with guidance and consensus at c€1.1bn, with an adj. EBIT margin of 33.5% (cons 33%). For full year 2026, we estimate revenues of €4.2bn (37% y-o-y at cc), c1% above cons, and an adj. EBIT margin of 33.4% (cons 33%).

Figure 13: ASM International UBSe vs consensus

€m	Guide	Q3 26E		Q4 26E		2026E		2027E		2028E	
		UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.
Equipment sales		902	892	970	948	3,342	3,308	4,779	4,323	6,452	5,185
Spares & services sales		212	216	245	238	852	847	938	999	1,125	1,139
Revenues	1,100	1,114	1,102	1,215	1,189	4,195	4,154	5,717	5,375	7,577	6,415
% y-o-y	38%	39%	38%	74%	70%	32%	31%	36%	29%	33%	19%
Gross profit		568	561	620	599	2,169	2,143	2,916	2,759	3,864	3,323
% margin		51.0%	50.9%	51.0%	50.4%	51.7%	51.6%	51.0%	51.3%	51.0%	51.8%
EBITDA		436	427	482	469	1,643	1,608	2,342	2,099	3,141	2,517
% margin		39%	39%	40%	39%	39%	39%	41%	39%	41%	39%
EBIT		367	358	407	385	1,376	1,346	1,989	1,821	2,673	2,232
% margin		33.0%	32.4%	33.5%	32.4%	32.8%	32.4%	34.8%	33.9%	35.3%	34.8%
EBIT excl. restructuring/PPA		373	363	413	396	1,403	1,372	2,016	1,846	2,700	2,252
% margin		33.5%	33.0%	34.0%	33.3%	33.4%	33.0%	35.3%	34.3%	35.6%	35.1%
Normalized net earnings		313	304	346	330	1,198	1,166	1,670	1,538	2,227	1,863
Adjusted diluted Normalized EPS		6.3	6	7.0	6.5	24.3	23	33.9	31	45.1	37.6
Total capex		-89	-118	-97	-125	-385	-454	-457	-443	-606	-484
FCF		228	164	455	203	1,091	729	1,584	1,167	2,149	1,478

Source: UBS estimates, Visible Alpha, Company data

ASML (Buy, €2,350 PT)

Event: Q3 2026 results – 7:00am (CET), October 14th

What to watch

1) Higher 2027/28 guide: ASML currently guided for low NA and immersion capacity to increase by **c30% both in 2027E and 2028E**. We believe ASML is likely to update those targets to **>30%** to support the strong AI demand. In light of improving visibility, we believe **ASML could be in a position to guide group revenues for FY27 above 30% y-o-y growth** (vs cons +28% and UBSe +33% y-o-y).

2) Pricing Remains the Largest Earnings Lever: Following management's comments that the current environment offers greater pricing flexibility, we expect customer negotiations to support further price increases across EUV and immersion platforms. Given these products represent c.80-85% of revenue, pricing remains the largest source of potential upside, with [our analysis suggesting 15-20% EPS upside to consensus by 2028E](#). We expect **ASML to emphasize again the upside from pricing in 2027/2028E**

3) High NA adoption Accelerating: [Recent announcements from Samsung and TSMC](#), alongside progress on 12-inch photomasks, reinforce our view that High-NA adoption is gaining momentum. We expect greater clarity on **shipment acceleration into 2028E** and see **potential upside to High-NA demand forecasts, particularly within DRAM**.

UBS vs consensus

We sit above the high end point of guidance on revenues for Q3 with an estimate of €12.1bn (3% above cons), and a gross margin estimate around the midpoint at 55.8% (cons 56%), and an EBIT margin of 42.6% (cons 42.2%). For full-year 2026, our revenue estimate sits broadly in line with both the midpoint of guidance and consensus, while our gross margin estimate is at 55.6% (cons 55.1%), and EBIT margin at 41.2% (cons 40.4%).

Figure 14: ASML UBSe vs consensus

EURm	Q3 26E			Q4 26E			2026E			2027E		2028E		2029E	
	Guide	UBSe	Cons.	UBSe	Cons.		Guide	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.
Product sales		9,204	8,908	10,782	11,171			32,830	32,867	45,295	43,291	60,135	53,800	56,186	57,961
-o/w EUV		4,392	4,423	4,940	5,190			17,218	17,528	24,664	24,292	33,320	32,083	34,630	36,279
Service sales		2,900	2,906	3,060	3,002			11,209	11,067	13,265	12,989	16,089	14,678	17,872	16,274
Total sales	11,500	12,104	11,715	13,841	14,269		44,000	44,039	43,958	58,560	56,320	76,225	68,573	74,058	74,235
% y-o-y	53.0%	61.0%	55.9%	42.4%	46.8%		34.7%	34.8%	34.6%	33.0%	28.1%	30.2%	21.8%	-2.8%	8.3%
Gross profit		6,759	6,558	8,032	8,085			24,471	24,206	33,192	31,782	45,167	39,468	44,257	43,462
% margin	55-57%	55.8%	56.0%	58.0%	56.7%	54-56%	55.6%	55.1%	56.7%	56.4%	59.3%	57.6%	59.8%	58.5%	
R&D		-1,200	-1,226	-1,275	-1,339			-4,936	-5,053	-5,306	-5,605	-5,572	-6,150	-5,850	-6,522
SG&A		-400	-389	-400	-409			-1,405	-1,396	-1,650	-1,598	-1,733	-1,751	-1,906	-1,939
Other income		0	-	0	-			0	1	0	2	0	3	0	4
Operating profit		5,159	4,943	6,357	6,336			18,130	17,748	26,235	24,490	37,863	31,425	36,501	35,002
% margin		42.6%	42.2%	45.9%	44.4%			41.2%	40.4%	44.8%	43.5%	49.7%	45.8%	49.3%	47.2%
Net income		4,297	4,175	5,291	5,338			15,262	15,072	22,099	20,770	31,865	26,591	30,721	29,533
EPS dil.		11.19	10.87	13.83	13.94			39.75	39.20	58.22	54.55	84.97	70.59	83.08	79.57
EUV 0.33 NA								65	66	88	87	105	106	97	102
EUV 0.50 NA (High-NA)								5	5	6	6	7	10	13	16
Total EUV								70	71	94	93	112	116	110	118
Bookings			9,176		11,438				38,940		49,432		54,223		59,621

Source: UBS estimates, Visible Alpha, Company data

Besi (Buy, €370 PT)

Event: Q3 2026 results – 7:00am (CET), October 22nd

What to watch

1) Q3 results: Besi guided Q3'26 revenue to be up 10-15% q-o-q, and gross margin to be in the range of 63-65%, while Q3 opex was guided to be up 0-5% vs. Q2. Consensus expects Q3 revenue to be up 13% q-o-q and 112% y-o-y at €282m, and a gross margin of 64.3%, broadly in line with the midpoint of guidance.

2) FY26 outlook: For FY26, cons expect revenues to grow 70% y-o-y, and gross margin to reach 64.7%. We view the main sources of upside this year as China 2.5D and new mainstream Apple content.

3) Order intake: Order intake for Q1'26 rose 9% sequentially at €293m, up 129% y-o-y. We estimate that hybrid bonding orders dipped from the peak in Q1'26. Consensus bookings for Q3 sit at €283m. Any large hybrid bonding order this quarter would be taken very positively, given the apparent push out of orders from Samsung.

4) China: China continued to be strong in Q2, representing 35% of orders, which in our view is largely driven by Huawei/Cambricon 2.5D build out related but potentially also Innolight for photonics die attach.

WPI

Besi currently trades on 24.7x 12-month forward EV/EBITDA, vs its history of 21.9x.

UBS vs consensus

Consensus expects Q3 revenue to be up 13% q-o-q and 112% y-o-y at €282m, and a gross margin of 64.3%, broadly in line with the midpoint of guidance. For FY26, cons expect revenues to grow 70% y-o-y, and gross margin to reach 64.7%.

Figure 15: Besi consensus

	Q3 26E	Q4 26E	2026E	2027E	2028E	2029E
€m	Cons	Cons	Cons	Cons	Cons	Cons
Sales	281.7	289.7	1006.7	1368.2	1705.2	2118.4
yoy	112.2%	74.1%	70.2%	35.9%	24.6%	24.2%
Gross profit	181.1	188.0	651.7	897.5	1131.0	1417.5
% margin	64.3%	64.9%	64.7%	65.6%	66.3%	66.9%
Total operating expenses	-56.4	-59.3	-224.2	-252.4	-282.4	-342.0
% y-o-y	16.2%	18.4%	11.4%	12.6%	11.9%	21.1%
EBITDA	134.8	138.2	466.2	687.5	896.0	1136.7
% margin	48%	48%	46%	50%	53%	54%
EBIT	125.3	128.7	427.1	644.0	845.8	1075.5
% margin	44.5%	44.4%	42.4%	47.1%	49.6%	50.8%
Tax	-16.5	-17.4	-55.4	-86.5	-114.7	-145.3
Profit after tax	104.8	107.5	355.2	543.8	717.8	912.0
Net income adjusted	106.2	101.1	358.7	535.9	738.8	972.9
EPS Basic	1.3	1.3	4.5	6.8	9.0	11.5
EPS Diluted	1.3	1.3	4.4	6.8	9.0	11.5
DPS announced	0.0	0.0	3.2	5.4	7.4	9.4
FCF	19.7	114.3	262.7	475.1	687.4	860.1

Source: UBS estimates, Visible Alpha, Company data

Ericsson (Sell, SKr68.00 PT)

Event: Q3 2026 results – 7:00am (CET), October 15th

What to watch

1) Q3 results: For Q3, the company expects Networks revenue growth to exceed normal seasonal trends, reflecting the timing impact of previously delayed contracts (c. +1% q-o-q vs. cons of +6.6%, UBSe 5.7%). Cloud Software & Services is guided in line with seasonal patterns (+3% q-o-q vs. cons at +3.5%, UBSe 2.5%). Networks gross margin is expected to be 48–50% (vs. cons and UBSe 49%), primarily reflecting an unfavourable mix from rollout-related contracts.

2) FY26 outlook: We estimate full year 2026 revenues of SEK225.5bn (-4.7% y-o-y), a gross margin of 47.6%, and an adj. EBIT margin of 12.9%, all broadly in line with consensus.

3) Geographic mix: Ericsson delivered Q2 group revenue of -6% y-o-y vs. cons -4% (-1% organic, Networks revenue -4% y-o-y organic). This was driven by EMEA up 2% y-o-y organic, South East Asia, Oceania and India up 4%, North East Asia up 8%, partly offset by Americas down 1%. We continue to believe geographical mix represents downside risk to revenues and margins in H226.

4) Margin progression: In Q2, adjusted group gross margin was 48.4%, driven by operational execution and mix, and partly offset by FX headwinds. Gross margins in the upcoming quarters will be crucial in evaluating the durability of current margin levels, as management highlighted increasing component cost inflation heading into the coming quarters, which we believe could place additional pressure on gross margins from Q4 onwards. UBSe and consensus estimate a Networks gross margin of 49%, and the midpoint of company guidance.

5) RAN market: Ericsson continues to estimate the 2026 RAN equipment market to remain broadly flat (cons -5% y-o-y for Network revs) with growth in mission critical networks, 5G core and Enterprise.

WPI

Ericsson currently trades on 14.1x 12-month forward P/E, vs its long-term average one-year forward of 16.6x.

UBS vs consensus

We sit broadly in line with consensus on Q3 and FY26 revenue and gross margin estimates.

Figure 16: Ericsson UBSe vs consensus

SKr m	Q3 26E		Q4 26E		2026E		2027E		2028E	
	UBSe	Cons	UBSe	Cons	UBSe	Cons	UBSe	Cons	UBSe	Cons
Networks	34,938	35,229	41,709	42,308	142,631	144,163	141,573	146,350	140,525	148,581
Cloud Software	15,106	15,242	19,427	19,867	61,099	61,944	61,099	64,167	60,488	65,874
Enterprise	4,845	4,671	6,325	4,936	19,828	18,448	21,018	19,594	22,068	20,883
Other	419	430	681	496	1,915	1,756	1,915	1,795	1,915	1,815
Group Revenues	55,309	55,525	68,141	67,663	225,473	226,233	225,604	231,750	224,997	236,927
% y-o-y	-1.7%	-1.3%	-1.7%	-2.3%	-4.7%	-4.4%	0.1%	2.4%	-0.3%	2.2%
Gross profit adj.	26,185	26,279	31,838	31,798	107,238	107,129	105,348	109,306	102,206	112,209
% gross margin	47.3%	47.3%	46.7%	47.0%	47.6%	47.4%	46.7%	47.2%	45.4%	47.4%
Networks	5,994	6,796	8,492	9,106	26,629	28,046	24,124	28,137	21,514	28,786
% margin	17.2%	19.3%	20.4%	21.5%	18.7%	19.5%	17.0%	19.2%	15.3%	19.4%
Cloud Software	2,000	1,880	2,899	3,324	7,352	7,512	6,741	7,948	5,873	8,557
% margin	13.2%	12.3%	14.9%	16.7%	12.0%	12.1%	11.0%	12.4%	9.7%	13.0%
Enterprise	-1,040	-1,116	-487	-1,158	-4,439	-5,192	-3,214	-4,548	-3,164	-4,031
% margin	-21.5%	-23.9%	-7.7%	-23.5%	-22.4%	-28.1%	-15.3%	-23.2%	-14.3%	-19.3%
Other	-122	-286	-403	-352	-478	-219	-478	-1,014	-478	-1,007
% margin	-29.1%	-66.7%	-59.2%	-71.0%	-25.0%	-12.5%	-25.0%	-56.5%	-25.0%	-55.5%
Group EBIT adj.	6,832	7,293	10,501	10,878	29,064	29,685	27,173	30,796	23,744	32,587
% margin	12.4%	13.1%	15.4%	16.1%	12.9%	13.1%	12.0%	13.3%	10.6%	13.8%
Gross profit adj. Networks	17,120	17,269	20,109	20,513	70,460	71,014	67,955	71,282	65,344	72,514
% margin	49.0%	49.0%	48.2%	48.5%	49.4%	49.3%	48.0%	48.7%	46.5%	48.8%
EBITA excl. Restructuring	7,191	7,906	11,038	11,654	30,664	31,517	28,773	32,867	25,344	34,688
% margin	13.0%	14.2%	16.2%	17.2%	13.6%	13.9%	12.8%	14.2%	11.3%	14.6%
EPS - headline - basic	1.36	1.45	2.06	2.21	4.88	5.31	5.47	6.27	4.79	6.91
EPS - ex. restructuring - diluted	1.41		2.04		5.85		5.45		4.71	
EPS - non-IFRS - diluted	1.49	1.46	2.16	2.42	6.18	6.46	5.77	7.04	5.04	7.58

Source: UBS estimates, Visible Alpha

Infineon (Neutral, €64 PT)

Event: FQ4 2026 results – 7:30am (CET), November 10th

What to watch

1) FQ1 guide likely in line: We expect FQ1 revenues to be up +1% q-o-q vs seasonality of -5 to -6% and consensus -2% q-o-q mainly driven by datacenter ramp up. However, we expect segment margin of 22% vs cons 23% leading to segment income roughly in line with consensus. This lower margin is mainly due to the phasing of lower utilisation, restructuring of high voltage business and the ramp up of Dresden fab.

2) FY27 also likely in line with cons: For FY27, we expect Infineon to guide revenues of c€20bn (UBSe €20.1bn and Cons €19.8) with segment margin of low to mid 20s vs UBSe 24% and cons 25%. While end-market demand remains supportive, we do not expect meaningful upside from pricing or capacity additions.

3) Datacenter revenues towards c€4bn revenues in FY27: Following our recent deep dives, we expect management to target roughly €4bn of datacenter revenue in FY27 (up from c€2bn in 2026E), including around €3.5bn from AI (vs the prior ~€2.5bn AI target). We believe this is broadly in line with buy-side expectations and implies approximately 13% y-o-y growth in non-datacenter revenues during FY27.

UBS vs consensus

Our FQ4 and FY26 estimates sit broadly in line with consensus and guidance. For FQ1'27, we estimate revenues to grow c30% y-o-y vs. consensus of c26%, and a segment margin of 22% (cons 23%).

Figure 17: Infineon UBSe vs consensus

EURm	Guide	Q4 26E		Q1 27E		2026E		2027E		2028E		2029E	
		UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.
Automotive		2,023	2,052	2,131	2,018	7,606	7,642	8,366	8,504	9,203	9,590	9,939	10,352
GIP		514	523	478	464	1,713	1,725	2,038	2,004	2,242	2,238	2,466	2,509
PSS		1,744	1,720	1,757	1,752	5,617	5,586	8,088	7,776	9,544	9,815	11,453	11,111
CSS		428	412	385	372	1,418	1,401	1,631	1,579	1,794	1,718	1,919	1,948
CE/OOS		1	2	2	2	2	3	2	7	2	8	2	11
Total Revenues	4,700	4,709	4,707	4,752	4,607	16,355	16,355	20,126	19,844	22,785	23,287	25,780	25,929
% y-o-y	19.2%	19.4%	19.4%	29.8%	25.8%	11.5%	11.5%	23.1%	21.3%	13.2%	17.3%	13.1%	11.3%
% y-o-y const curr.		18.3%		31.0%		15.0%	11.55%						
ATV		431	443	502	438	1,521	1,524	2,067	1,978	2,218	2,518	2,443	2,817
GIP		95	96	62	76	217	212	326	377	560	525	616	609
PSS		528	508	439	502	1,348	1,332	2,184	2,333	2,577	3,212	3,321	3,864
CSS		53	55	42	46	128	131	253	232	341	305	326	363
Segment Income		1,109	1,101	1,046	1,061	3,214	3,199	4,830	4,982	5,696	6,712	6,708	7,733
% margin	23.0%	23.5%	23.4%	22.0%	23.0%	19.7%	19.6%	24.0%	25.1%	25.0%	28.8%	26.0%	29.8%
ATV		21.3%	21.6%	23.6%	21.7%	20.0%	19.9%	24.7%	23.3%	24.1%	26.3%	24.6%	27.2%
GIP		18.6%	18.3%	13.0%	16.4%	12.7%	12.3%	16.0%	18.8%	25.0%	23.5%	25.0%	24.3%
PSS		30.3%	29.6%	25.0%	28.7%	24.0%	23.8%	27.0%	30.0%	27.0%	32.7%	29.0%	34.8%
CSS		12.3%	13.3%	11.0%	12.3%	9.0%	9.3%	15.5%	14.7%	19.0%	17.8%	17.0%	18.7%
Segment Margin		23.5%	23.4%	22.0%	23.0%	19.7%	19.6%	24.0%	25.1%	25.0%	28.8%	26.0%	29.8%
R&D		-672	-663	-665	-685	-2,584	-2561	-2,717	-2769	-2,734	-2970	-2,810	-3128
SG&A		-431	-445	-418	-437	-1,652	-1665	-1,711	-1792	-1,823	-1906	-1,805	-1993
Net Income		688	708	722	654	1,668	1,699	3,393	3,169	4,067	4,441	4,863	5,396
Net Income Clean cont.		844	845	776	762	2,324	2,302	3,635	3,688	4,309	4,940	5,106	5,875
EPS dil.		0.52	0.55	0.54	0.50	1.27	1.30	2.57	2.42	3.09	3.37	3.70	4.11
EPS dil. Clean cont.		0.64	0.64	0.59	0.58	1.79	1.75	2.79	2.80	3.31	3.73	3.92	4.47

Source: UBS estimates, Visible Alpha Consensus, Company data

Melexis (Neutral, €72 PT)

Event: Q3 2026 results – 7:00am (CET), October 28th

What to watch

1) Q3'26 results: Melexis guided for Q3'26 revenue to grow 3% y-o-y (or +2.5% q-o-q vs seasonality+4%). We estimate Q3'26 revenues of €225.7m, up 5% y-o-y (cons €223.8m), with a gross margin of 41% (cons in line) and an operating margin of 19.9% (cons 18.9%).

2) FY'26 guidance: Melexis guided for H2'26 revenue of €450m +7% h-o-h. It expects a c41% gross margin and 18% operating margin, with FY capex to be around €40m. We estimate FY'26 revenues of €877.4m (cons €870.3m), with a gross margin of 40.9% (cons 40.7%) and an operating margin of 18.3% (cons 17.8%).

WPI

Melexis currently trades on 19.1x 12-month forward P/E vs its historical average of 23.7x.

UBS vs consensus

We estimate Q3'26 revenues of €225.7m , up 5% y-o-y (cons €223.8m), with a gross margin of 41% (cons in line) and an operating margin of 19.9% (cons 18.9%). For full year 2026, we estimate revenues of €877.4m (cons €870.3m), with a gross margin of 40.9% (cons 40.7%) and an operating margin of 18.3% (cons 17.8%).

Figure 18: Melexis UBS vs consensus

EURm	Q3 26E			Q4 26E		2026E		2027E		2028E	
	Guide	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.
Revenues		225.7	223.8	232.5	227.3	877.4	870.3	991.5	949.4	1,091	1,034
% y-o-y	3%	5%	4%	8%	7%	5%	4%	13%	9%	10%	9%
Gross profit		93	91.4	98	93.9	359	353.9	426	399.2	491	446
Gross margin		41.0%	40.9%	42.0%	41.3%	40.9%	40.7%	43.0%	42.1%	45.0%	43.1%
EBIT		45.0	42.2	44.6	41.1	160.5	155.0	223.1	192.0	273	227
% margin		19.9%	18.9%	19.2%	18.1%	18.3%	17.8%	23%	20.2%	25%	21.9%
Net Income		35.4	33.2	35.2	32.4	123.6	119.5	177.5	153.1	218.8	181.9
EPS dil.		0.88	0.83	0.87	0.81	3.06	2.96	4.39	3.78	5.42	4.54

Source: UBS estimates, Visible Alpha, Company data

Nokia (Neutral, €9.65 PT)

Event: Q3 2026 results – 7:00am (CET), October 22nd

What to watch

1) Q3 results: For Q3, Nokia expects net sales to grow 3-7%, in line with normal seasonality, with operating profit to remain flat q-o-q due to phasing out of software revenue recognition, but Q4 EBIT is expected to have a meaningful increase. We estimate Q3'26 revenues of €5bn, up 7% y-o-y (cons €5.1bn, c8% y-o-y), a gross margin of 45.3% (cons 44.1%), and EBIT margin to reach 9.8% (cons 8.9%).

2) Q4 guidance: We estimate Q4'26 revenues of €6.4bn, up c6% y-o-y (cons €6.3bn, 5% y-o-y), and EBIT margin of 19.8% (cons 19.4%). **We see upside in the quarter driven by strong optical demand as seen at competitors like Ciena**

3) FY26 outlook: For full year 2026, Nokia maintained its FY26 operational outlook, but the reclassification of Fixed Wireless Access CPE and Enterprise Campus Edge as discontinued operations increased the comparable operating profit guidance range by €0.1bn to €2.1–2.6bn (from somewhat at the top of the range of €2.0–2.5bn). Network Infrastructure growth was reiterated at 12-14% y-o-y, with combined growth of IP and Optical networks to grow 18-20%. We estimate FY'26 revenues of €20.7bn, +6.4% y-o-y (cons roughly in line), with operating profit of €2.5bn, 12% margin (cons €2.4bn, 11.5% margin).

4) AI driven growth: In Q2, AI and Cloud revenue (9% of H1'26 sales) more than doubled YoY, while order intake reached €2.8bn, equivalent to the prior three quarters combined. Although partly driven by large multi-year contracts, we expect strong demand to persist. It will be important to look for commentary around the trend for FY26-27 as well as the order intake sustainability.

WPI

Nokia currently trades on 23.9x 12-month forward P/E, above its long-term average one-year forward P/E of 14.9x.

UBS vs consensus

We estimate Q3'26 revenues of €5bn, up 7% y-o-y (cons €5.1bn, c8% y-o-y), a gross margin of 45.3% (cons 44.1%), and EBIT margin to reach 9.8% (cons 8.9%). For the full year, we estimate revenues of €20.7bn, +6.4% y-o-y (cons roughly in line), with operating profit of €2.5bn, 12% margin (cons €2.4bn, 11.5% margin).

Figure 19: Nokia UBSe vs consensus

EURm	Q3'26E		Q4'26E		2026E		2027E		2028E	
	UBSe	Cons	UBSe	Cons	UBSe	Cons	UBSe	Cons	UBSe	Cons
Network Infrastructure	2,124	2,178	2,653	2,704	8,642	8,736	9,939	10,102	11,405	11,432
- Fixed	490	499	554	581	1,917	1,946	1,821	1,958	1,821	1,961
- IP	694	738	887	954	2,886	2,966	3,318	3,459	3,584	3,897
- Optical	939	941	1,212	1,169	3,840	3,826	4,800	4,699	6,000	5,615
- Submarine	0	-	0	-	0	-	0	-	0	-
Mobile Infrastructure	2,817	2,780	3,640	3,527	11,640	11,508	11,684	11,685	11,528	11,794
Portfolio Businesses	107	106	116	113	417	527	434	524	455	544
Common and other	7	4	3	5	17	15	17	16	17	16
Group sales (Non-IFRS)	5,055	5,063	6,412	6,327	20,717	20,756	22,074	22,320	23,405	23,825
% y-o-y	7.4%	7.6%	6.4%	5.0%	6.4%	6.6%	6.5%	7.5%	6.0%	6.7%
% y-o-y const. curr	6.0%		5.3%		2.2%		7.0%		6.6%	
Gross profit (Non-IFRS)	2,292	2,232	3,137	3,062	9,683	9,568	10,329	10,415	11,016	11,215
Gross margin adj	45.3%	44.1%	48.9%	48.4%	46.7%	46.1%	46.8%	46.7%	47.1%	47.1%
Network Infrastructure margin %	8.9%	9.9%	19.1%	19.3%	11.4%	11.8%	12.8%	14.9%	16.7%	17.9%
Mobile Infrastructure margin %	12.4%	10.1%	22.2%	21.1%	14.5%	13.5%	15.1%	14.3%	14.7%	14.4%
Portfolio Businesses margin %	1.9%	-1.4%	0.3%	1.6%	1.3%	-3.4%	-1.0%	-3.7%	-1.2%	-3.6%
Common and other margin %	-45%	-42%	-46%	-44%	-177%	-169%	-180%	-174%	-184%	-159%
	-661.4%	-1123%	-1436%	-971%	-1041%	-1149%	-1062%	-1121%	-1083%	-988%
EBIT adj (Non-IFRS)	494	452	1,268	1,230	2,498	2,395	2,853	2,993	3,405	3,532
margin %	9.8%	8.9%	19.8%	19.4%	12.1%	11.5%	12.9%	13.4%	14.5%	14.8%
EBITDA (Non-IFRS)	649	634	1,412	1,418	3,121	3,109	3,467	3,856	4,052	4,522
margin %	12.8%	12.5%	22.0%	22.4%	15.1%	15.0%	15.7%	17.3%	17.3%	19.0%

Source: UBS estimates, Visible Alpha, Company data

Nordic Semi (Sell, NOK134 PT)

Event: Q3 2026 results – 7:00am (CET), October 22nd

What to watch

1) Q3'26 results: Q3'26 sales guidance was \$220m-\$240m (28.5% y-o-y and 5% q-o-q at the midpoint), while gross margin guidance was for above 50%. Our Q3'26 revenue estimates sit 2% below the midpoint of guidance at \$225.5m (cons \$230.6m), and our gross margin estimate sits at 51% (cons 52.3%).

2) Q4'26 guidance: We expect Q4'26 revenues of \$205.9m (cons \$217.1m), up 21.5% y-o-y (cons 28.1%) and down 9% q-o-q (cons down 6%). We expect a gross margin of 51% (cons 52%).

3) FY26 outlook: We estimate FY26 revenues to grow 26.2% y-o-y (cons 28.5%), and gross margin to reach 51.8% (cons 52.4%).

4) nRF54 momentum: In Q2, inventory increased to \$217m from \$182m in Q1'26 to secure supply and capacity to support the ramp of the nRF54 series. We will look for any commentary around the estimated contribution for the full year and any indication around the ramp into 2027.

UBS vs consensus

Our Q3'26 revenue estimates sit 2% below the midpoint of guidance at \$225.5m (cons \$230.6m), and our gross margin estimate sits at 51% (cons 52.3%). For the full year 2026, we estimate revenues to grow 26.2% y-o-y (cons 28.5%), and gross margin to reach 51.8% (cons 52.4%).

Figure 20: Nordic Semi UBSe vs consensus

USDm	Guide	Q3 26E		Q4 26E		2026E		2027E		2028E	
		UBSe	Cons	UBSe	Cons	UBSe	Cons	UBSe	Cons	UBSe	Cons
Bluetooth		179.8	191.6	170.8	177.4	644.5	699.2	718.2	806.1	793.9	918.4
Proprietary wireless		8.4	7.7	7.9	7.5	32.0	28.5	31.1	26.1	30.3	24.2
Short range		205.8	199.3	185.2	184.8	768.3	727.6	846.4	832.2	910.3	942.6
Long range		15.4	15.8	16.1	16.4	58.6	59.4	73.0	80.0	88.7	100.6
Other		4.4	--	4.6	--	15.5	--	20.7	--	25.2	--
Total revenue	230.0	225.5	230.6	205.9	217.1	842.4	857.9	940.1	1,020.7	1,024.2	1,188.3
% y-o-y	28.5%	26.0%	28.9%	21.5%	28.1%	26.2%	28.5%	11.6%	19.0%	8.9%	16.4%
Gross profit margin	>50%	51.0%	52.3%	51.0%	52.0%	51.8%	52.4%	52.0%	52.3%	52.0%	52.5%
Opex		(83.4)	(81.5)	(82.4)	(82.5)	(322.0)	(323.3)	(334.3)	(350.8)	(356.6)	(374.6)
D&A		14.3	12.2	13.9	12.5	50.8	47.8	55.9	53.1	55.2	56.3
EBITDA		31.6	38.3	22.6	30.2	109.1	124.5	154.5	185.1	176.0	251.5
margin		14.0%	16.6%	11.0%	13.9%	13.0%	14.5%	16.4%	18.1%	17.2%	21.2%
EBIT		17.3	26.1	8.7	17.7	58.4	76.7	98.6	132.0	120.8	195.2
margin		7.7%	11.3%	4.2%	8.1%	6.9%	8.9%	10.5%	12.9%	11.8%	16.4%
Net income		12.2	19.9	5.7	13.1	45.0	61.2	71.3	107.8	88.6	159.9
margin		5.4%	8.6%	2.7%	6.1%	5.3%	7.1%	7.6%	10.6%	8.7%	13.5%
EPS reported											
Basic EPS		0.06	0.10	0.03	0.07	0.23	0.31	0.36	0.55	0.45	0.82
Diluted EPS		0.06	0.10	0.03	0.06	0.22	0.30	0.35	0.53	0.44	0.79

Source: UBS estimates, Visible Alpha, Company data

NXP (Neutral, \$270 PT)

Event: Q3 2026 results – 10:10pm (CET), October 27th

What to watch

1) Q3'26 results: NXP guided Q3 sales at \$3.75bn at the midpoint (+18% y-o-y, +7% q-o-q vs seasonality up mid to high single digit %), while Q3 non-GAAP gross margin is guided to reach 58.5%, higher than 58% in Q2. Additionally, non-GAAP EBIT for Q3 is expected to be \$1,382m. Our estimates sit broadly in line with the midpoint of guidance and consensus on revenues, gross margin and EBIT margin.

2) Q4'26 guide: We forecast c\$3.9bn revenues in Q4 or up 4% q-o-q (cons 3%) vs seasonality +2%. We would expect automotive comments to be incrementally positive as evidenced by [our meeting with Infineon's head of auto](#)

3) FY26 guidance: For the full year, our estimates sit broadly in line with consensus, with sales at \$14.3bn, a non-GAAP gross margin of 58.2% and a non-GAAP EBIT margin of 35.9%.

4) Datacenter revenue: The company expects AI infrastructure revenue to exceed \$500m in 2026, which in our view reflects greater exposure to edge AI rather than data centre infrastructure in comparison to peers. We expect more comments from management around the AI revenue opportunity.

5) Long-term target progression: NXP's 2027 targets project \$16bn in revenue at the mid point and gross margin in the range of 57-63%. We estimate 2027E sales at \$15.9bn, a non-GAAP gross margin of 59.4% and a non-GAAP EBIT margin of 38.3%, with consensus estimates sitting broadly in line.

6) China: Domestic demand for China autos started weakening at the back end of 2025 and has continued to worsen through the year. We see an increasing risk of an inventory correction in this market, especially given relative strength in semis revenues in the region. It will be important to monitor any commentary around the demand environment in China.

WPI

NXP currently trades on 13.7x 12-month forward P/E vs its long-term average of 16.2x.

UBS vs Consensus

Our Q3'26 and FY'26 estimates sit in line with consensus.

Figure 21: NXP UBSe vs consensus

\$m	Q3 26E			Q4 26E		2026E		2027E		2028E		2029E	
	Guide	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.
Automotive		2,035	2,060	2,215	2,128	7,970	7,907	8,847	8,951	9,554	9,932	10,414	10,414
Industrial & IoT		800	803	749	820	2,932	3,003	3,225	3,454	3,548	3,795	3,903	3,903
Mobile		404	406	423	420	1,568	1,568	1,709	1,550	1,863	1,620	1,956	1,956
Communications Infrastructure & Other		493	492	503	487	1,827	1,810	2,156	2,050	2,372	2,185	2,562	2,562
Revenues	3,750	3,731.5	3,760.3	3,889.1	3,854.7	14,298	14,288	15,938	16,005	17,337	17,532	18,835	18,835
% y-o-y	18.2%	17.6%	18.5%	16.6%	15.6%	16.5%	16.5%	11.5%	12.0%	8.8%	9.5%	8.6%	7.4%
Gross profit - Non-GAAP	2,184	2,196		2,292	2,271	8,319	8,310	9,460	9,498	10,500	10,465	11,548	11,548
% margin	58.5%	58.5%	58.4%	58.9%	58.9%	58.2%	58.2%	59.4%	59.3%	60.6%	59.7%	61.3%	61.3%
EBIT - Non-GAAP	1,382	1,371.2	1,383.9	1,475.6	1,452.9	5,127	5,117	6,109	6,111	6,980	6,901	7,852	7,852
% margin	36.9%	36.7%	36.8%	37.9%	37.7%	35.9%	35.8%	38.3%	38.2%	40.3%	39.4%	41.7%	41.7%
Net Income - shareholders - US GAAP		867	929	949	986	3,704	3,777	3,713	4,163	4,473	4,952	5,123	5,123
EPS - Non-GAAP - diluted		4.01	4.12	4.35	4.34	15.01	15.13	18.34	18.33	21.98	21.54	25.43	25.43
EPS - headline - diluted US GAAP		3.42	3.66	3.75	3.89	14.60	14.90	14.76	16.53	18.06	19.95	21.09	21.09

Source: UBS estimates, Visible Alpha, company data

Siltronic (Buy, €120 PT)

Event: Q3 2026 results – 7:00am (CET), November 4th

What to watch

1) Q3 results: We estimate Q3'26 revenues to grow by 13% y-o-y (cons 12%), with a gross margin of -2.4% (cons -3%).

2) Q4 guidance: We estimate Q4'26 revenues to decrease by -1% y-o-y (cons -2%), with a gross margin of 2.4% (cons -0.3%).

3) FY26 guidance: Siltronic updated their FY'26 revenue guidance, and now expects a low to mid-single-digit % y-o-y decline vs. MSD% previously, but reiterated their previous guide for an EBITDA margin between 20-24%. We estimate FY26 revenues to decline by -1% y-o-y (cons -2%), with an EBITDA margin of 24% (cons 22.6%) and EBIT of -€187m (cons -€205m).

4) Pricing: We expect tightening supply-demand conditions from 2027E onwards to support 12" wafer pricing. It will be important to monitor any commentary around near term pricing uplifts.

5) Capacity: Capacity utilisation for 300mm wafers is expected to remain high through the year, consistent with recent commentary from Shin-Etsu, while 200mm is expected to recover significantly in H2. Commentary around the supply demand environment will be closely watched.

WPI

Siltronic currently trades on 2.4x 12-month forward EV/Sales vs. its 10-year average of 1.7x EV/Sales.

UBS vs consensus

Our Q3'26 revenue estimate sits c1% above consensus, with our EBITDA margin at 25.6% (cons 23.2%). For FY26, we estimate revenues to decline by -1% y-o-y (cons -2%), with an EBITDA margin of 24% (cons 22.6%) and EBIT of -€187m (cons -€205m).

Figure 22: Siltronic UBSe vs consensus

€m	Q3 26E		Q4 26E		Guide	2026E		2027E		2028E	
	UBSe	Cons	UBSe	Cons		UBSe	Cons.	UBSe	Cons.	UBSe	Cons.
Revenues	340.5	336.3	366.7	363.2		1,335.3	1,322.8	1,616.6	1,529.7	2,025.9	1,767.1
y-o-y growth	13%	12%	-1%	-2%	L-MSD % below	-1%	-2%	21.1%	16%	25%	16%
Gross profit	-8.3	-10.2	8.8	-1.2		-40.1	-55.4	137.7	62.5	448.0	222.4
% gross margin	-2.4%	-3.0%	2.4%	-0.3%		-3.0%	-4.2%	9%	4.1%	22%	12.6%
EBITDA	87.0	78.1	98.9	85.5		320.4	298.8	549.9	435.6	853.2	597.2
EBITDA margin %	25.6%	23.2%	27%	23.5%	20-24%	24.0%	22.6%	34.0%	28.5%	42%	33.8%
EBIT adjusted	-42.4	-51.9	-40.4	-48.1		-187.0	-205.1	-32.1	-104.0	245.4	34.6
EBIT margin %	-12.4%	-15.4%	-11%	-13.2%		-14.0%	-15.5%	-2%	-6.8%	12%	2.0%
Pretax profit	-54	-63	-61	-62		-240	-249	-76	-149	206	-6
Net profit	-54	-61	-59	-51		-243	-236	-76	-145	165	-9
EPS	-1.56	-1.69	-2.10	-1.78		-7.30	-6.72	-2.20	-4.15	4.74	-0.37
Capex (incl. intangibles)	-65.4	-49.9	-69	-53		-290	-250.1	-253	-292	-306	-333
FCF	80	36	-71	-28		-108	-52.6	217	81	385	181

Source: UBS estimates, Visible Alpha, Company data

STMicroelectronics (Buy, €80 PT)

Event: Q3 2026 results – 7:00am (CET), October 29th

What to watch

1) Q3'26 results: Q3'26 sales were guided to \$3.7bn at the midpoint +16% y-o-y and +6.2% q-o-q versus typical seasonality of c.+7% q-o-q, and gross margin was guided at c.37%. Our Q3'26 revenue estimate sits c2% above guidance and consensus, while gross margin is in line.

2) Q4 and FY26 guide: We expect **STM to guide Q4 revenues up c10% q-o-q (UBS +12% vs. consensus +10%)**, ahead of normal seasonality of ~7%. Key drivers include robust automotive demand from customers such as Tesla and Mobileye, improving demand from European OEMs, a strong datacenter ramp, and continued industrial recovery. We also see scope for **Q4 gross margin guidance of ~38.5% (UBS 38.3%, consensus 38.1%)**, implying **EBIT potentially ~10% above consensus in Q4 2026.**

3) AI Datacenter and LEO: We [forecast silicon photonics revenues](#) reaching ~\$2.0bn in 2027E and ~\$2.5bn in 2028E, supported by deployment trends and accelerating adoption. Combined with AI power products, we estimate total datacenter revenues of ~\$2.5bn in 2027E, above management's current target of "well above \$2bn", representing ~14% of group sales. By 2028E, we forecast datacenter revenues rising to ~\$3.8bn, or ~19% of group sales. While we see upside potential to these estimates, **we do not expect management to revise its medium-term guidance at this stage.**

WPI

STMicroelectronics currently trades on 22.5x 12-month forward P/E, a premium to its long-term average one-year forward of 18.1x.

UBS vs consensus

Our Q3'26 revenue estimate sits c2% above guidance and consensus, while gross margin is in line. For the full year 2026, we estimate revenues to grow c24% y-o-y (cons 22%), and gross margin to reach 36.4% (cons in line). As a result, we sit 6% above consensus adj. EBIT 2026E.

Figure 23: STMicro UBSe vs consensus

USDm	Q3 '26E			Q4 '26E		2026E		2027E		2028E	
	Guide	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.
<i>New segments</i>											
Analog products, MEMS and Sensors (AM&S)		1,547	1,505	1,562	1,556	5,853	5,808	6,463	6,487	7,067	7,083
Power and discrete products (P&D)		480	498	515	521	1,848	1,866	2,409	2,223	2,705	2,490
Embedded Processing (EMP)		1,269	1,222	1,360	1,320	4,751	4,650	6,093	5,538	6,825	6,154
RF & Optical Communications (RF&OC)		483	513	808	694	2,145	2,056	2,977	2,888	3,491	3,643
Revenues	3,700	3,782	3,728	4,250	4,111	14,614	14,406	17,959	17,176	20,105	19,334
% y-o-y	16.1%	18.7%	17.0%	27.7%	23.5%	23.9%	22.1%	22.9%	19.2%	11.9%	12.6%
Gross profit		1,399	1,379	1,629	1,566	5,313	5,214	7,406	6,837	9,102	8,442
% margin	37.0%	37.0%	37.0%	38.3%	38.1%	36.4%	36.2%	41.2%	39.8%	45.3%	43.7%
Opex		-982	-1,004	-987	-1,021	-3,972	-4,026	-3,918	-4,020	-3,988	-4,194
Divisional EBIT											
Analog products, MEMS and Sensors (AM&S)		232	202	281	235	818	745	1,293	1,008	1,413	1,415
% margin		15.0%	13.4%	18.0%	15.1%	14.0%	12.8%	20.0%	15.5%	20.0%	20.0%
Power and discrete products (P&D)		-72	-90	-52	-83	-307	-351	548	-108	676	351
% margin		-15.0%	-18.0%	-10.0%	-15.9%	-16.6%	-18.8%	22.7%	-4.9%	25.0%	14.1%
Embedded Processing (EMP)		254	237	340	273	984	903	1,913	1,278	2,389	1,714
% margin		20.0%	19.4%	25.0%	20.7%	20.7%	19.4%	31.4%	23.1%	35.0%	27.8%
RF & Optical Communications (RF&OC)		153	133	223	188	531	467	334	689	1,236	1,161
% margin		31.7%	26.0%	27.5%	27.1%	24.7%	22.7%	11.2%	23.9%	35.4%	31.9%
Other		-150	-123	-150	-124	-710	-563	-600	-385	-600	-320
% margin		-3604%	-2890.7%	-3676.5%	-3158.3%	-4399.0%	-3279.0%	-3644.6%	-2386.4%	-3573.1%	-2155.1%
EBIT		416.9	373.3	642.3	538	1,316	1,167	3,488	2,718	5,114	4,170
% margin		11.0%	10.0%	15.1%	13.1%	9.0%	8.1%	19.4%	15.8%	25.4%	21.6%
EBIT adj.		418.9	412	644	582	1,503	1,421	3,496	2,939	5,122	4,313
% margin		11.1%	11.1%	15.2%	14.2%	10.3%	9.9%	19.5%	17.1%	25.5%	22.3%
Net Income		349	342	538	473	1,145	1,070	2,924	2,422	4,290	3,579
Net Income Clean		350	374	539	502	1,302	1,263	2,930	2,505	4,296	3,676
EPS dil.		0.38	0.37	0.58	0.51	1.23	1.19	3.15	2.63	19.89%	4.62
EPS dil. Clean		0.38	0.41	0.58	0.54	1.40	1.37	3.16	2.71	16.33%	4.63

Source: UBS estimates, Visible Alpha, Company data

SUSS MicroTec (Buy, €105.5 PT)

Event: Q3 2026 results – 7:00am (CET), November 5th

What to watch

1) Order outlook: Q2'26 Order intake was up 75% sequentially at €260.7m, up 231% y-o-y, surpassing the record quarterly order intake in Q1, with strong demand in advanced packaging and backend solutions. Consensus estimate for total orders for Q3 sits at €169m, down 35% q-o-q and up 141% y-o-y.

2) Q3'26 results: We estimate Q3 revenues of €139.5m, up 18% y-o-y (cons €129.1m, up 9% y-o-y), with gross margin of 36.7% (cons 36.5%).

3) FY26 outlook: SUSS reiterated revenue for FY'26 to be €425-485m, which at the midpoint represents a decline of 9.6% y-o-y. Gross margin is projected to be in the range of 35-37% and EBIT margin in the range of 8-10%. The company flagged that while the order situation is positive, there is uncertainty around geopolitical developments and the economic outlook. We estimate full year revenues above the high point of guidance at €506.9m, up 1% y-o-y (cons €468.8m, -7% y-o-y), with gross margin of 36.9% (cons in line), and EBIT margin of 10.6% (cons 10%).

WPI

SUSS trades at c2.1x 12-month forward EV/sales, above its 10-year average of 1.2x.

UBS vs consensus

We estimate Q3 revenues of €139.5m, up 18% y-o-y (cons €129.1m, up 9% y-o-y), with gross margin of 36.7% (cons 36.5%). We estimate full year revenues above the high point of guidance at €506.9m, up 1% y-o-y (cons €468.8m, -7% y-o-y), with gross margin of 36.9% (cons in line), and EBIT margin of 10.6% (cons 10%).

Figure 24: SUSS MicroTec UBSe vs consensus

	Q3 26E		Q4 26E			2026E		2027E		2028E	
€m	UBSe	Cons	UBSe	Cons	Guide	UBSe	Cons	UBSe	Cons	UBSe	Cons
Sales	139.5	129.1	164.7	139.7	425-485	506.9	468.8	665.7	638.9	765.5	719.4
yoy	18%	9%	39%	18%	-10%	1%	-7%	31%	36%	15%	13%
Gross profit	51.2	47.2	60.6	52.6	163.8	187.1	173.3	244.4	247.8	288.7	287.2
% margin	36.7%	36.5%	36.8%	37.6%	35-37%	36.9%	37.0%	36.7%	38.8%	37.7%	39.9%
Total operating expenses	-34.0	-31.9	-38.2	-34.2		-133.3	-126.7	-160.4	-146.2	-177.5	-163.7
% y-o-y	28%	20%	28%	15%		17%	12%	20%	15%	11%	12%
EBITDA	20.0	19.0	25.7	22.6		67.3	61.7	97.4	120.2	126.5	146.2
% margin	14.3%	14.7%	16%	16.1%		13.3%	13.2%	15%	18.8%	17%	20.3%
EBIT	17.2	15.6	22.4	18.3	41.0	53.8	47.0	84.0	103.6	111.2	129.0
% margin	12.3%	12.1%	13.6%	13.1%	8-10%	10.6%	10.0%	12.6%	16.2%	14.5%	17.9%
Tax	-5.2	-4.4	-6.7	-5.5		-16.7	-14.3	-25.2	-30.5	-33.4	-37.8
Profit after tax	12.7	11.0	16.3	13.6		37.7	32.6	60.7	73.8	80.9	92.3
Net income adjusted	12.7	10.7	16.3	14.1		37.7	32.3	60.7	74.2	80.9	92.3
EPS Basic	0.7	0.55	0.9	0.8		2.0	1.68	3.2	3.76	4.2	4.83
EPS Diluted		0.55		0.76			1.68		3.76		4.83
DPS announced	0.0		0.2			0.2		0.3		0.4	
FCF	-8.2	-10.1	-10.6	15.5		-2.5	22.9	16.1	16.0	30.5	62.9
Orders		169.3		174.1			676.7		772.4		778.2

Source: UBS estimates, Visible Alpha, Company data

Technoprobe SpA (Buy, €41 PT)

Event: Q3 2026 results – 1:00pm (CET), November 11th

What to watch

1) Q3'26 results: The company guided for Q3'26 revenue of €314m, up 123% y-o-y. Gross margin is expected to be 61.5% and EBITDA margin is expected to be 52%. We estimate Q3 revenues of €323.6m, up 130% y-o-y (3% above guidance), with a gross margin of 61%, and an EBITDA margin of 52%.

2) FY'26 outlook: 2026 guidance was once again lifted, with revenue sitting between €1,050-1,000m (prev. €950-1,050m) and 46-48% EBITDA margin (prev. 44-46%). We estimate full year revenues of €1,079m, up c72% y-o-y, vs. consensus of €1,111m, with an EBITDA margin of 47.9% (cons in line).

3) Custom ASICs: The custom ASIC opportunity has come through slower than we initially anticipated and we expect revenues to start ramping in Q4'26 onwards as 3nm custom ASIC volumes ramp through 2027. We will look for any commentary on design wins for custom ASICs and potential demand implications for the next quarters.

4) FY27 outlook: We estimate FY27 revenues of €1,409m, up 30.6% y-o-y (cons €1,606m, up c44.6% y-o-y), with an EBITDA margin of 46.8% (cons 51.7%).

WPI

Technoprobe trades at 27.1x 12-month forward EV/EBITDA, above its average since listing of 22.2x.

UBS vs consensus

We estimate Q3 revenues of €323.6m, up 130% y-o-y (3% above guidance), with a gross margin of 61%, and an EBITDA margin of 52%. For the full year, we estimate revenues of €1,079m, up c72% y-o-y, vs. consensus of €1,111m, with an EBITDA margin of 47.9% (cons in line).

Figure 25: Technoprobe UBSe vs consensus

EURm	H2 26E		H1 27E		Guide	2026E		2027E		2028E	
	UBSe	Cons	UBSe	Cons		UBSe	Cons	UBSe	Cons	UBSe	Cons
Revenue	614.9	673.5	640.7	722.2	1,050-1,000	1,078.9	1,110.9	1,409.3	1,606.2	1,691.1	1,986.2
% y-o-y	103.3%	122.6%	38.1%	55.6%	63.1%	71.7%	76.8%	30.6%	44.6%	20.0%	23.7%
Gross profit	360.7	404	363.3	423		610.3	637	798.2	963	968.2	1,221
margin	58.7%	60.0%	56.7%	58.6%		56.6%	57.3%	56.6%	60.0%	57.3%	61.5%
R&D	33.5	43.4	48.7	45.7		60.7	75.6	107.2	106.4	127.0	125.2
SG&A	62.5	67.2	75.1	69.8		114.4	119.5	161.6	163.8	179.0	218.9
Opex	96.0	110.7	123.8	115.6		175.1	195.1	268.7	270.2	306.0	344.0
EBIT	264.7	293.7	239.5	307.8		435.2	446.6	529.5	708.6	662.2	912.0
margin	43.0%	43.6%	37.4%	42.6%		40.3%	40.2%	37.6%	44.1%	39.2%	45.9%
EBITDA	310.5	345.8	297.9	372.1	46-48%	516.6	532.7	659.2	831.1	804.8	1,056.5
margin	50.5%	51.3%	46.5%	51.5%		47.9%	48.0%	46.8%	51.7%	47.6%	53.2%
PBT	274.8	297.5	249.1	316.3		472.8	464.6	550.7	729.7	691.8	939.2
Net income	206.1	224.0	186.8	235.2		349.2	345.3	413.1	541.5	518.9	695.9
margin	33.5%	33.3%	29.2%	32.6%		32.4%	31.1%	29.3%	33.7%	30.7%	35.0%
Basic EPS	0.33	0.33	0.29	0.42		0.55	0.54	0.65	0.83	0.82	1.08
Diluted EPS	0.33	0.33	0.29	0.42		0.55	0.54	0.65	0.83	0.82	1.07
Free Cash Flow	(30.6)	(15.4)	131.8	132.7		(37.2)	(37.0)	231.8	276.8	437.4	484.7
Net cash from operating	172.3	335.0	263.1	429.2		256.0	566.3	489.9	870.2	581.2	1,015.1
Capex - tangibles	196.8	195.2	128.1	120.3		284.1	312.8	251.1	240.4	135.3	257.0

Source: UBS estimates, Visible Alpha, Company data

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Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

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Company Name	Reuters	12-month rating	Price	Price date
ASM International ^{28a}	ASMI.AS	Buy	€844.60	25 Sep 2026
ASML ^{16,28a}	ASML.AS	Buy	€1,522.6	25 Sep 2026
Aixtron ^{28a}	AIXGn.DE	Neutral	€34.80	25 Sep 2026
BE Semiconductor Industries ^{28a}	BESI.AS	Buy	€187.60	25 Sep 2026
Ericsson ^{16,28a}	ERICb.ST	Sell	SKr94.96	25 Sep 2026
Infineon Technologies AG ^{28a}	IFXGn.DE	Neutral	€56.71	25 Sep 2026
Melexis NV	MLXS.BR	Neutral	€66.80	25 Sep 2026
NXP Semiconductors ^{4,16,7,6a,28a,6c}	NXPI.O	Neutral	US\$238.08	25 Sep 2026
Nokia ^{16,7,6a,28a,6b}	NOKIA.HE	Neutral	€9.13	25 Sep 2026
Nordic Semiconductor ASA ^{28a}	NOD.OL	Sell	NKr182.30	28 Sep 2026
STMicroelectronics ^{5,16,28b}	STMPA.PA	Buy	€45.11	25 Sep 2026
SUSS MicroTec ^{5,28a,6c}	SMHNN.DE	Buy	€67.20	25 Sep 2026
Siltronic AG ^{1,2,4,5,28a,6c}	WAFGn.DE	Buy	€73.25	25 Sep 2026
Technoprobe SpA	TPRO.MI	Buy	€30.14	25 Sep 2026
ams-OSRAM ^{2,4,59,5,7,28a,6c,20}	AMS.S	Buy (CBE)	CHF20.10	25 Sep 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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